

China Internet

Alibaba Group Holding Ltd

Rating

Outperform

Price Target

✓ BABA	165.00 USD (180.00 OLD)
✓ 9988.HK	161.00 HKD (176.00 OLD)



Robin Zhu
+852 2123 2659
robin.zhu@bernsteinsg.com



Qingyuan Lin, Ph.D.
+852 2123 2654
qingyuan.lin@bernsteinsg.com



Charles Gou
+852 2123 2618
charles.gou@bernsteinsg.com



Min-Joo Kang
+852 2123 2644
minjoo.kang@bernsteinsg.com

Alibaba: Bottom-up modelling of AI capex payback, funding needs

The optics... and the maths. Alibaba's shares fell sharply in response to the company's \$10.2bn equity raise a couple weeks ago, and have traded indifferently since. It's not hard to sympathise with the resulting investor grumbling. Several investors we spoke with argued that the optics of management talking up ROI on capex, news of a deal driving a Friday ADR decline, followed by deal announcement on the weekend... *when Alibaba has \$30.7bn of net cash...* diluted the credibility of management's ROI claims.

A bottom-up model of datacentre economics. Look beyond the sentiment cross-winds though, our bottom-up analysis mostly supports management's claims on payback on capex. Our bottom-up builds of Alibaba's datacentre-level economics triangulate feedback from Alibaba, the AI labs we cover, as well as industry contacts in both the AI and semis supply chains. The datacentre model we built around the existing Zhenwu 810E chip looks consistent with a three year payback on capex, while channel feedback on the new M890 chip (commercial deployment started in August) validates a 2.5 year payback period. Online quotes for server rental prices have continued to point higher in recent months, and our discussions with key customers point to expectations of continued market tightness.

Continued acceleration vs. continued funding needs? The mechanics of datacentre economics means there should be line-of-sight between higher capex now, and faster Alicloud revenue growth in the coming quarters. Incremental cloud margins should continue to look solid too. The rub is that to getting to \$100bn of external cloud revenue by FY3/31 requires close to RMB1tn of capex. We estimated a c. RMB170bn funding gap between the latter and profits from Alibaba's e-commerce and cloud businesses - half of which was addressed by last month's equity raise. In hindsight, we almost wonder if Alibaba should have done a *larger* equity raise to draw a line under its cloud funding needs. But we do think the pendulum of sentiment will swing back towards "cloud acceleration good" at some point.

Investment Implications

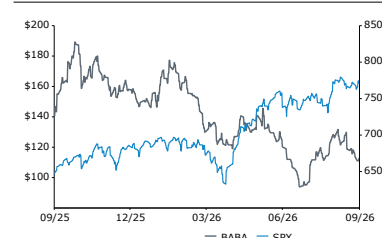
We rate Alibaba Outperform (PT US\$165/HK\$161).

Adjusted EPS	F26A	F27E	F28E	Financials	F26A	F27E	F28E	CAGR	Valuation Metrics	F26A	F27E	F28E
BABA (CNY)	26.82	44.78	64.65	Revenues (M)	1,024*	1,162*	1,320*	13.6%	Adjusted P/E (x)	28.0	16.8	11.6
OLD	--	45.51	62.54	Gross Profit (M)	407,534	378,209	453,261	5.5%	EV/Sales (x)	1.4	1.3	1.1
9988.HK (HKD)	3.69	6.46	9.35	Operating Earnings (M)	50,150	98,824	159,019	78.1%	EV/GP (x)	3.6	3.9	3.2
OLD	--	6.57	9.05	Net Earnings (M)	64,359	111,480	162,996	59.1%				

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	3 Sep 2026
BABA Close Price (USD)	111.81
Price Target (USD)	165.00
Upside/(Downside)	48%
52-Week Range	192.67/91.99
SPX	7,747.71
FYE	Mar
Div Yield	0.9%
Market Cap (USD) (M)	277,918
EV (CNY) (B)	1,458.56
Performance	YTD 1M 6M 12M
Absolute (%)	(23.7) (13.3) (16.1) (14.6)
SPX (%)	13.2 1.9 13.7 20.2
Relative (%)	(36.9) (15.3) (29.8) (34.7)
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



DETAILS

A BOTTOM-UP MODEL OF AI DATACENTRE ECONOMICS

Alibaba's share price drop following its \$10.2bn equity raise has triggered significant investor grumbling. Beyond the generic investor dislike of earnings dilution, the most common observation we've heard in the past couple of weeks has centred around the fact Alibaba could easily have funded the amount raised from internal resources (e.g. \$30.7bn net cash as of June 30). Rightly or wrongly, one investor we spoke with invoked the scorpion and frog parable - also referencing the company's May 2024 CB raise. Even believers in the company's AI growth strategy accepted that the recent sequence of events diluted the credibility of management's claims around payback on capex. Alibaba's shares aren't especially expensively valued, but on the margin, we'd guess the recent placement makes investors more likely to fade good news.

We show in this note bottom-up estimates for Alibaba's datacentre-level economics, assuming the current and upcoming generations of T-head silicon. At a high level, we think management's claims around 2.5-3 year breakeven periods on capex are credible. That said, on what we think are "reasonable" assumptions for hardware cost and compute price inflation, getting to over \$100bn of external cloud revenues by FY3/31 likely requires close to RMB1tn of cumulative capex in the coming years. Compared with reasonable estimates for Alibaba's e-commerce and cloud profits, a c. RMB170bn funding gap exists which is about half spoken for after the equity raise last month. In some ways, we almost wonder if Alibaba's shares would have been better served by a much larger (e.g. \$20-30bn) equity raise that draws a line under the Alicloud's funding needs.

The maths checks out on payback periods

To validate management's claims around breakeven periods for AI capex, we built a detailed, bottom-up model showing datacentre unit economics down to server purchase costs, power costs, bare mental rental revenues, and assumptions around MaaS revenue attach - referencing the company's disclosures around MaaS and broader AI revenue run rates (e.g. RMB16bn and RMB49.5bn ARR respectively as of Q1). In general, we've tried to make "sensible" assumptions referencing established conventions (e.g. server share of datacentre capex, depreciation periods, datacentre utilisation as clients move in), publicly available pricing benchmarks (e.g. datacentre PUE, power cost).

For the more specialised inputs into our model, we've referenced discussions with Alibaba, the AI labs we cover, AI industry contacts more broadly, and bottom-up BOM estimates for Alibaba's in-house silicon - with thanks to our China semis colleagues at Bernstein. While established benchmarks exist for monthly rental rates for the existing 810E chip, we've had to make estimates for M890 rental rates based on channel check feedback. For the sake of illustration, we've assumed RMB60bn of initial capex - roughly the level of quarterly capex we've assumed for Alibaba in the balance of FY3/27E. Our operating expense assumptions benchmark reported economics (e.g. 85% EBITDA margins) among listed neoclouds.

All in, we'd describe these estimates as a best efforts attempt to be reasonable, though both the existence of generous government subsidies and general GPU rental inflation point to better unit economics over time than our static estimates based on latest spot.

Making some assumptions about the new M890 chip

Exhibit 1 and Exhibit 2 show our datacentre model assuming RMB60bn of incremental capex is spent on the current generation of Zhenwu 810E chips. Feedback we've heard from the AI labs has put these chips in the podium positions among Chinese GPUs, alongside Huawei and Cambricon. Exhibit 3 and Exhibit 4 show the outputs assuming the capex is instead spent on the new M890 chipset. Exhibit 5 shows our bottom-up cost estimate for the M890 chip - the monthly rental revenue assumptions we've used comes from the AI labs we speak with, as prospective customers. Our cost per server estimate for M890 is double the 810E, adjusted for the number of GPUs. Feedback from the AI labs we cover pointed to either side of RMB80,000 a month as being a reasonable ball-park estimate for 8xM890 server rental prices (with a premium added on top for the 64xM890 supernode that we've left out in our modelling). For comparison purposes, 8xH200 server rental in China right now costs around RMB110-120k per month, according to a regular scrape we do of listings posted by various onshore inference providers, and retail server rental listings on Douyin - cross checked qualitatively with AI industry contacts (see Exhibit 6).

EXHIBIT 1: **We've built a datacentre economics model to estimate the payback on Alicloud capex...**

		Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Capex assumptions								
Capex spent								
Total capex	RMB mn	60,000						
Server capex share		60.0%						
Server capex	RMB mn	36,000						
Non-server capex	RMB mn	24,000						
Server purchase price	RMB mn	0.90						
GPUs per server		16						
Total GPUs		642,857						
Total servers		40,179						
Server useful life	Years	6						
Facility/network useful life	Years	15						
Operating assumptions								
Compute capacity operational								
Paid capacity / DC occupancy	%	45.0%	75.0%	80.0%	85.0%	85.0%	85.0%	85.0%
GPUs operational								
GPUs		289,286	482,143	514,286	546,429	546,429	546,429	546,429
Servers operational								
Servers		18,080	30,134	32,143	34,152	34,152	34,152	34,152
Server power at 100% utilisation	MW	145	241	257	273	273	273	273
Bare metal rental per server	RMB/mo	65,000	65,000	65,000	65,000	65,000	65,000	65,000
Bare metal rental per GPU	RMB/mo	4,063	4,063	4,063	4,063	4,063	4,063	4,063
VAT		6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
MaaS revenue uplift vs. bare metal								
		50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%
Power cost								
Client GPU utilisation		70.0%	70.0%	70.0%	70.0%	70.0%	70.0%	70.0%
Server power	kW	8.00	8.00	8.00	8.00	8.00	8.00	8.00
PUE		1.25	1.25	1.25	1.25	1.25	1.25	1.25
Idle-power share	%	40%	40%	40%	40%	40%	40%	40%
Power cost	RMB/kWh	0.50	0.50	0.50	0.50	0.50	0.50	0.50
IT power load factor	%	82.0%	82.0%	82.0%	82.0%	82.0%	82.0%	82.0%
Average facility power load	MW	148	247	264	280	280	280	280
Annual power use	MWh	1,298,748	2,164,580	2,308,886	2,453,191	2,453,191	2,453,191	2,453,191
Annual power cost	RMB mn	649	1,082	1,154	1,227	1,227	1,227	1,227

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 2: ...which mostly supports management's claims of a three year breakeven period on incremental capex, including the MaaS revenue that the compute capacity supports on top of bare metal rental

		Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
P&L and cash flow projection								
Revenue	RMB mn		19,885	33,141	35,351	37,560	37,560	37,560
Electricity cost	RMB mn		-649	-1,082	-1,154	-1,227	-1,227	-1,227
Server D&A	RMB mn		-6,000	-6,000	-6,000	-6,000	-6,000	-6,000
Facility / network D&A	RMB mn		-1,600	-1,600	-1,600	-1,600	-1,600	-1,600
Sales and G&A cash Opex	RMB mn		-4,176	-4,474	-4,666	-4,695	-4,695	-4,695
% of revenue			-21.0%	-13.5%	-13.2%	-12.5%	-12.5%	-12.5%
EBITDA	RMB mn		15,060	27,585	29,530	31,639	31,639	31,639
% of revenue			75.7%	83.2%	83.5%	84.2%	84.2%	84.2%
EBIT	RMB mn		7,460	19,985	21,930	24,039	24,039	24,039
% of revenue			37.5%	60.3%	62.0%	64.0%	64.0%	64.0%
Income tax expense	RMB mn		-1,119	-2,998	-3,289	-3,606	-3,606	-3,606
Effective tax rate %			-15.0%	-15.0%	-15.0%	-15.0%	-15.0%	-15.0%
NOPAT	RMB mn		6,341	16,987	18,640	20,433	20,433	20,433
Maintenance capex	RMB mn		-1,800	-1,800	-1,800	-1,800	-1,800	-1,800
Maintenance capex			3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
Unlevered free cash flow	RMB mn	-60,000	12,141	22,787	24,440	26,233	26,233	26,233
Cumulative unlevered FCF	RMB mn	-60,000	-47,859	-25,072	-632	25,601	51,834	78,067
Invested capital		60,000	60,000	60,000	60,000	60,000	60,000	60,000
ROIC			10.6%	28.3%	31.1%	34.1%	34.1%	34.1%
Implied cash payback	Years	3.02						
IT power load - MW			145	241	257	273	273	273
USD:CNY			6.80	6.80	6.80	6.80	6.80	6.80
Revenue/GW	USD/GW		20.22	20.22	20.22	20.22	20.22	20.22
Revenue/GW - bare metal	USD/GW		13.48	13.48	13.48	13.48	13.48	13.48

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 3: For the new M890 chipset we've made cost and rental revenue assumptions based on channel check feedback

		Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Capex assumptions								
Capex spent								
Total capex	RMB mn	60,000						
Server capex share		50.0%						
Server capex	RMB mn	30,000						
Non-server capex	RMB mn	30,000						
Server purchase price	RMB mn	6.27						
GPUs per server		64						
Total GPUs		306,122						
Total servers		4,783						
Server useful life	Years	6						
Facility/network useful life	Years	15						
Operating assumptions								
Compute capacity operational								
Paid capacity / DC occupancy	%	45.0%	75.0%	80.0%	85.0%	85.0%	85.0%	85.0%
GPUs operational	GPUs	137,755	229,592	244,898	260,204	260,204	260,204	260,204
Servers operational	Servers	2,152	3,587	3,827	4,066	4,066	4,066	4,066
Server power at 100% utilisation	MW	121	201	214	228	228	228	228
Monthly rental rate per server	RMB	660,000	660,000	660,000	660,000	660,000	660,000	660,000
Monthly rental rate per GPU	RMB	10,313	10,313	10,313	10,313	10,313	10,313	10,313
VAT		6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
MaaS revenue uplift vs. bare metal		55.0%	55.0%	55.0%	55.0%	55.0%	55.0%	55.0%
Power cost								
Client GPU utilisation		70.0%	70.0%	70.0%	70.0%	70.0%	70.0%	70.0%
Server power	kW	56.00	56.00	56.00	56.00	56.00	56.00	56.00
PUE		1.20	1.20	1.20	1.20	1.20	1.20	1.20
Idle-power share	%	40%	40%	40%	40%	40%	40%	40%
Power cost	RMB/kWh	0.50	0.50	0.50	0.50	0.50	0.50	0.50
IT power load factor	%	82.0%	82.0%	82.0%	82.0%	82.0%	82.0%	82.0%
Average facility power load	MW	119	198	211	224	224	224	224
Annual power use	MWh	1,038,999	1,731,664	1,847,109	1,962,553	1,962,553	1,962,553	1,962,553
Annual power cost	RMB mn	519	866	924	981	981	981	981

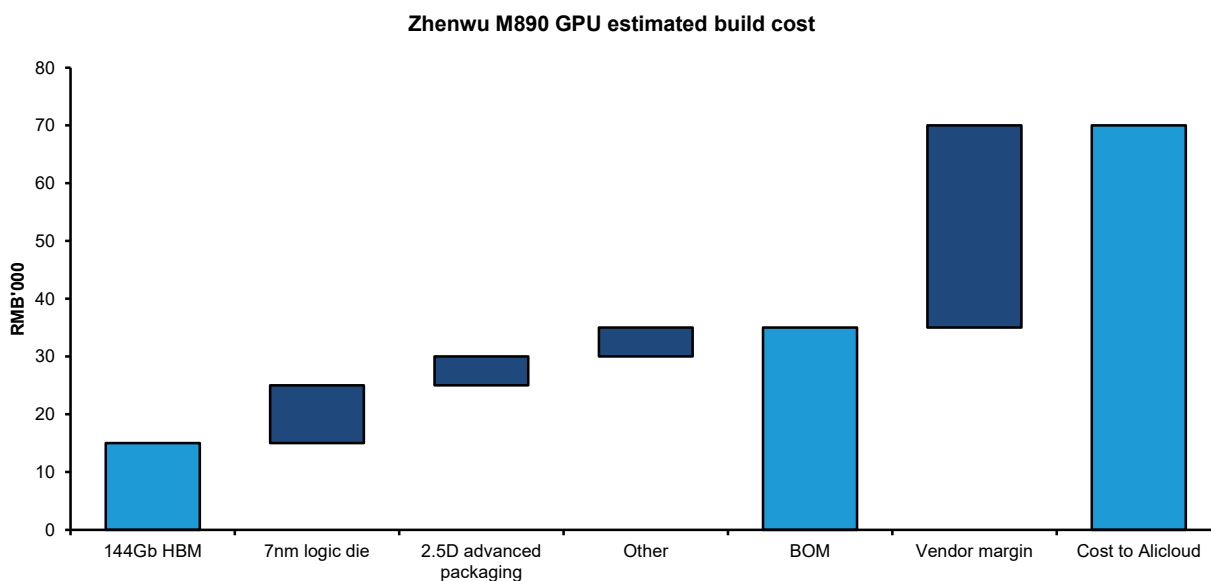
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 4: A 2.5 year payback is achievable based on our assumptions for the 64xM890 supernode, which offers better interconnectivity than 8xGPU server setups

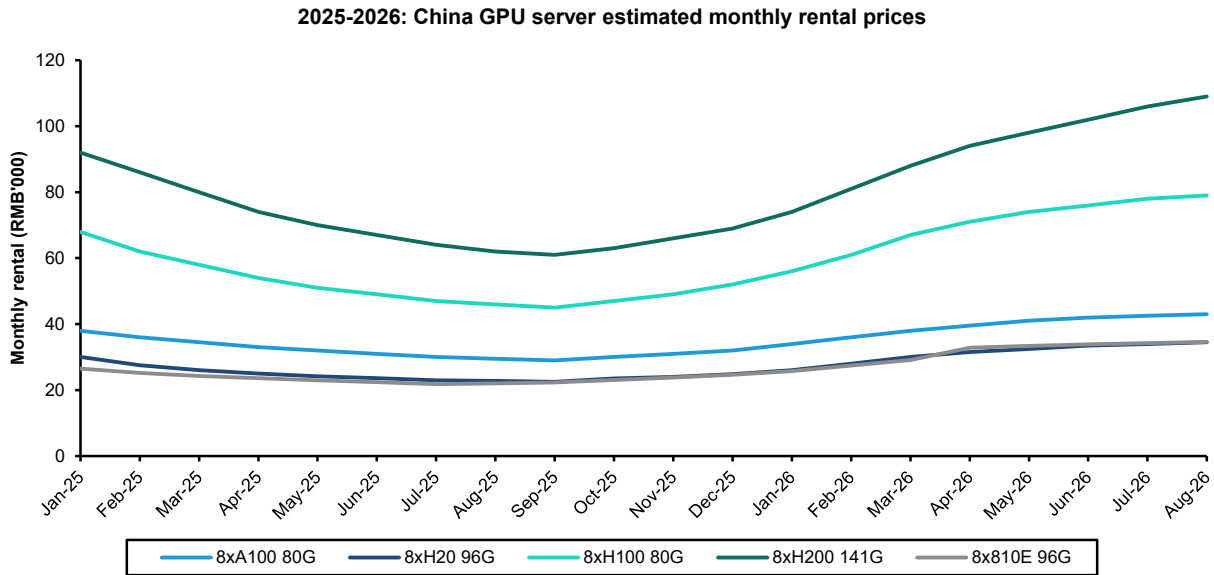
		Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
P&L and cash flow projection								
Revenue	RMB mn		24,838	41,396	44,156	46,916	46,916	46,916
Electricity cost	RMB mn		-519	-866	-924	-981	-981	-981
Server D&A	RMB mn		-5,000	-5,000	-5,000	-5,000	-5,000	-5,000
Facility / network D&A	RMB mn		-2,000	-2,000	-2,000	-2,000	-2,000	-2,000
Sales and G&A cash Opex	RMB mn		-5,464	-5,795	-5,961	-6,099	-6,099	-6,099
% of revenue			-22.0%	-14.0%	-13.5%	-13.0%	-13.0%	-13.0%
EBITDA	RMB mn		18,854	34,735	37,271	39,835	39,835	39,835
% of revenue			75.9%	83.9%	84.4%	84.9%	84.9%	84.9%
EBIT	RMB mn		11,854	27,735	30,271	32,835	32,835	32,835
% of revenue			47.7%	67.0%	68.6%	70.0%	70.0%	70.0%
Income tax expense	RMB mn		-1,778	-4,160	-4,541	-4,925	-4,925	-4,925
Effective tax rate %			-15.0%	-15.0%	-15.0%	-15.0%	-15.0%	-15.0%
NOPAT	RMB mn		10,076	23,575	25,731	27,910	27,910	27,910
Maintenance capex	RMB mn		-1,800	-1,800	-1,800	-1,800	-1,800	-1,800
Maintenance capex			3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
Unlevered free cash flow	RMB mn	-60,000	15,276	28,775	30,931	33,110	33,110	33,110
Cumulative unlevered FCF	RMB mn	-60,000	-44,724	-15,949	14,981	48,091	81,202	114,312
Invested capital		60,000	60,000	60,000	60,000	60,000	60,000	60,000
ROIC			16.8%	39.3%	42.9%	46.5%	46.5%	46.5%
Implied cash payback	Years		2.52					
IT power load - MW			121	201	214	228	228	228
USD:CNY			6.80	6.80	6.80	6.80	6.80	6.80
Revenue/GW	USD/GW		30.30	30.30	30.30	30.30	30.30	30.30
Revenue/GW - bare metal	USD/GW		19.55	19.55	19.55	19.55	19.55	19.55

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 5: We've estimated c. RMB70k per GPU for the M890, and assumed 40% overhead costs to get to server-level costs



Source: Bernstein estimates and analysis.

EXHIBIT 6: Our scraping of online compute rental quotes continue to point towards an upward trend

Estimated from monthly rental listings on Douyin, aggregated using Doubao.
Source: Douyin and Bernstein analysis.

THE STRATEGIC IMPLICATIONS ARE INTERESTING

We'd expect our directional conclusions to remain correct, even if commercial details like server costs and power usage are hard to get exactly right - with GPU rental rates fluctuating from month to month. Compared with the numbers in isolation, we'd expect the strategic implications of our modelling to be more consequential for investors following the Alibaba investment case. The most obvious first-order conclusion (aside from confirming management's payback period claims) is that... a fairly direct relationship exists between capex spent and incremental cloud revenues. In practice we assume a two-quarter delay between when capex is spent and when servers are turned on and begin to generate revenue. But Alicloud can essentially continue to beat revenue estimates ad infinitum... as long as Alibaba management is happy to pay (and the company's balance sheet can support) the rising capex bill required to get there.

The rub is that as Alicloud's base of revenues gets bigger over time, ever larger capex levels will be required for the business to sustain a constant rate of growth (e.g. 40% CAGR) over many years. An important determinant of how fast Alibaba's capex need rise over time will be the ratio between GPU cost inflation and rental revenue Alibaba is able to extract from its customers. If the former requires us to moonlight to some degree as semis analysts, the latter essentially represents a call on compute tightness. Exhibit 7 and Exhibit 8 show an updated version of our bottom-up revenue and profit build for Alicloud. We've assumed annual growth in capex and rental revenue per server to reflect hardware efficiency improvements.

In the near-term hardware compute rental pricing growth likely exceeds hardware cost inflation. Over time as supply in the China semis industry improves we'd expect the relationship to move more in sync - or potentially towards slower compute rental pricing growth over time if compute capacity becomes temporarily overbuilt.

Estimating Alicloud's funding needs

We're generally bullish on the ability of AI progress to unlock new use cases, and expand its revenue TAM... and require more compute. On the funding side, we've assumed Alibaba continues to generate RMB180-200bn of EBITA in its core e-commerce business. Meanwhile, Cloud EBITA should expand meaningfully - we've modelled this rising from approximately RMB32bn today to nearly RMB180bn by FY3/31. We've assumed Quick Commerce losses normalise to zero relatively quickly, but assumed continued losses in AI Labs and the new, smaller All Other segments (c. RMB240bn of cumulative EBITA loss in the intervening period) - see Exhibit 9.

Compared against close to RMB1tn of cumulative AI capex, we think Alibaba faces a RMB170bn funding gap - close to half of which was potentially addressed by last month's equity raise. Alibaba has c. RMB280bn/\$41bn of net cash after said deal, but

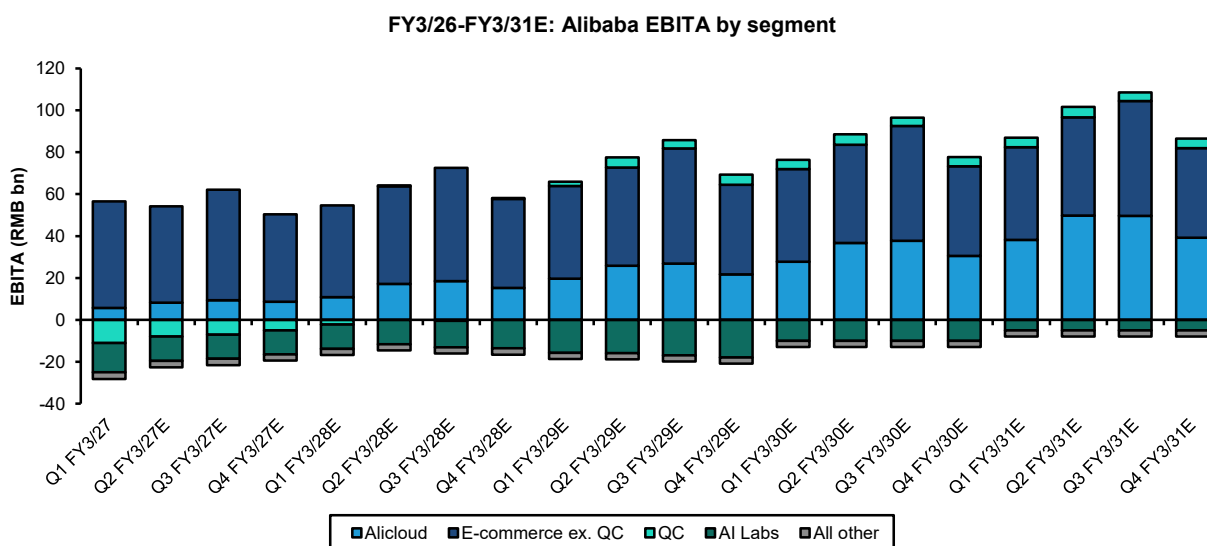
Over long periods, Tencent's Q2 slides illustrated the kind of "tragedy of the commons" risk we worry about for the hyperscaler layer in China. A significant overbuild of compute capacity feels like the logical terminal outcome in a world where all of the large hyperscalers in China built new compute capacity with external rental as the fallback plan.

RMB mn	FY23				FY24				FY25				FY26				FY27			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
	FY3/27	FY3/27	FY3/27	FY3/27	FY3/28	FY3/28	FY3/28	FY3/28	FY3/29	FY3/29	FY3/29	FY3/29	FY3/30	FY3/30	FY3/30	FY3/30	FY3/31	FY3/31	FY3/31	FY3/31
Cloud-only revenue	48,437	60,540	67,559	64,074	76,269	95,871	102,194	94,742	112,512	137,460	142,951	130,336	153,350	166,237	191,311	172,399	199,957	239,538	242,203	214,525
Growth YoY	44.9%	52.0%	56.1%	53.9%	57.5%	58.4%	51.3%	47.9%	47.5%	43.4%	39.9%	37.6%	36.3%	35.5%	33.8%	32.3%	30.4%	28.8%	26.6%	24.4%
Revenue breakdowns																				
Allicloud internal revenue	12,109	16,185	16,556	16,900	17,558	22,659	23,251	23,704	30,590	29,056	29,660	30,815	39,766	37,773	38,558	40,060	51,696	49,105	50,125	50,125
Growth YoY	45.2%	45.0%	45.0%	45.0%	45.0%	45.0%	35.0%	35.0%	35.0%	35.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%
Allicloud external revenue	36,328	44,355	51,002	47,174	58,710	73,212	79,843	71,927	88,808	106,871	113,895	100,676	122,535	146,470	153,539	138,847	159,897	188,142	193,098	164,400
Assumed AI revenue share (%)	34.1%	39.1%	63.0%	41.4%	49.5%	55.0%	56.0%	55.0%	59.2%	63.0%	63.0%	62.2%	65.1%	68.1%	67.6%	68.4%	69.0%	71.2%	70.1%	68.3%
Implied AI revenue	12,400	17,344	22,213	21,159	29,400	40,258	44,719	40,189	52,610	67,326	71,747	62,591	79,822	89,808	103,804	88,901	110,350	134,014	135,405	122,169
Implied non-AI revenue	23,928	27,011	28,790	26,015	29,670	32,953	35,123	31,738	36,198	39,544	42,148	38,085	42,714	44,662	49,735	44,941	49,458	54,128	57,692	52,161
Implied AI revenue growth	124.8%	152.1%	146.0%	135.3%	134.2%	132.1%	101.3%	89.9%	81.1%	67.2%	60.4%	55.7%	51.7%	48.2%	44.7%	42.0%	38.2%	34.3%	30.4%	26.3%
Implied non-AI revenue growth	22.3%	24.0%	24.0%	24.0%	24.0%	22.0%	22.0%	22.0%	22.0%	20.0%	20.0%	20.0%	20.0%	18.0%	18.0%	18.0%	16.0%	16.0%	16.0%	16.0%
GPU vs. revenue build																				
Assumed AI capex	-67,860	-55,000	-55,000	-55,000	-60,000	-60,000	-60,000	-60,000	-60,000	-60,000	-60,000	-60,000	-55,000	-55,000	-55,000	-55,000	-50,000	-50,000	-50,000	-50,000
Assumed 8xGPU server cost (RMB mn)	1,140	1,401	1,401	1,68	1,68	1,68	1,68	2,02	2,02	2,02	2,02	2,02	2,42	2,42	2,42	2,90	2,90	2,90	2,90	3,48
Servers installed - assume 2 quarter delay	18,126	18,989	48,329	32,738	32,738	32,738	35,714	29,762	29,762	29,762	29,762	24,802	24,802	24,802	27,235	18,946	18,946	18,946	17,223	14,353
Cumulative servers installed	152,023	171,014	219,343	252,081	284,819	317,557	353,271	383,033	412,795	442,557	472,319	497,120	521,922	546,724	569,458	588,044	601,278	611,745	619,019	619,225
Implied AI revenue per server	27	34																		

EXHIBIT 8: ...modelling server depreciation bottom-up, assuming annual increases in both server hardware cost and compute rental revenue run-rates

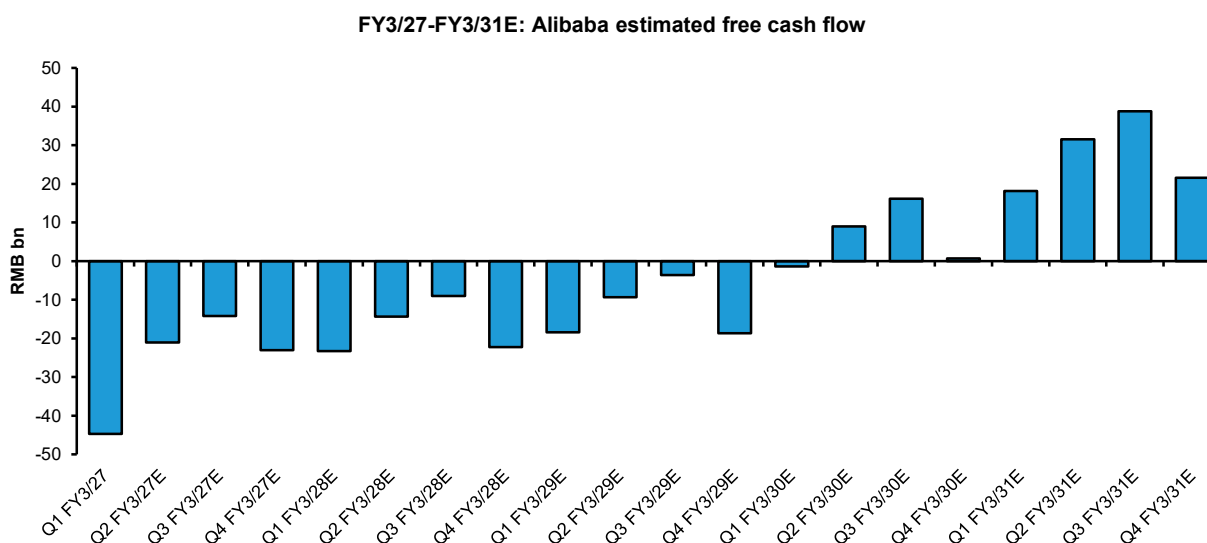
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 9: On the incomings front we've assumed Alibaba's e-commerce profits remain roughly flat around RMB180-190bn a year, while cloud EBITA grows while margins expand



Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 10: Our estimates point to cumulative capex needs totalling RMB1tn... the company indicates expectations for FCF to breakeven in FY3/29E



Source: Corporate reports, Bernstein estimates and analysis.

UPDATING OUR ESTIMATES FOR ALIBABA

We have updated our estimates for Alibaba, primarily reflecting a rebuild of our Alicloud forecasts (see Exhibit 11). The most impactful changes have included (1) annual steps up for server hardware cost and server rental prices; and (2) higher estimates for non-AI cloud revenue, as accelerating AI adoption should also drive demand for adjacent infrastructure services.

Our latest TP for Alibaba is based on our SOTP valuation for FY+1 revenues and profits in its core e-commerce and Cloud businesses, triangulated against 15x FY+1 group PE (see Exhibit 12).

EXHIBIT 11: **Alibaba: Summary of estimate changes**

Alibaba: summary of estimate changes	FY3/27E	FY3/28E	FY3/29E
Revenue (RMB mn)			
Bernstein - old	1,158,170	1,298,169	1,420,398
Growth YoY	13.1%	12.1%	9.4%
Bernstein - new	1,162,286	1,320,029	1,485,482
Growth YoY	13.5%	13.6%	12.5%
Consensus	1,130,643	1,269,733	1,457,559
Growth YoY	10.4%	12.3%	14.8%
New vs. old	0.4%	1.7%	4.6%
New vs. consensus	2.8%	4.0%	1.9%
Non-GAAP EBITA (RMB mn)			
Bernstein - old	125,259	168,187	190,693
Growth YoY	63.9%	34.3%	13.4%
Margin	10.8%	13.0%	13.4%
Bernstein - new	126,716	180,212	214,484
Growth YoY	65.8%	42.2%	19.0%
Margin	10.9%	13.7%	14.4%
Consensus	117,108	165,554	213,046
Growth YoY	53.3%	41.4%	28.7%
Margin	10.4%	13.0%	14.6%
New vs. old	1.2%	7.1%	12.5%
New vs. consensus	8.2%	8.9%	0.7%
Non-GAAP diluted EPS (RMB)			
Bernstein - old	45.51	62.54	69.38
Growth YoY	69.7%	37.4%	10.9%
Bernstein - new	44.78	64.65	75.34
Growth YoY	66.9%	44.4%	16.5%
Consensus	43.37	60.03	79.19
Growth YoY	61.7%	38.4%	31.9%
New vs. old	-1.6%	3.4%	8.6%
New vs. consensus	3.3%	7.7%	-4.9%

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 12: **Alibaba: SOTP valuation**

FY+1	Base	Bull	Bear
China E-commerce Group			
FY+1 GMV (RMB bn)	8,926	9,372	8,479
EBITA / GMV	2.1%	2.4%	1.2%
EBITA	189,057	224,924	101,752
Less: income tax @ 20%	-37,811	-44,985	-20,350
NOPAT	151,246	179,940	81,401
FY+1 PE multiple	8.0x	9.0x	5.0x
Core e-commerce equity value	1,209,966	1,619,456	407,006
Cloud			
External Cloud revenue in FY+1	322,289	354,518	290,060
Implied FY+1 PE multiple	26.9x	30.8x	16.9x
FY+1 P/S multiple	5.0x	6.0x	3.0x
Cloud equity value	1,611,446	2,127,109	870,181
Group equity value (US\$ mn) - FY+1	420,047	557,782	190,145
Group equity value per share (US\$) - FY+1	168	223	76

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Alibaba: Income Statement

RMB million	FY3/22	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Revenue	853,062	868,687	941,168	996,347	1,023,670	1,162,286	1,320,029	1,485,482
Gross profit	313,612	318,992	354,845	398,062	407,534	378,209	453,261	514,696
Product development expenses	-55,465	-56,744	-52,256	-57,151	-66,533	-81,792	-92,715	-104,045
Sales & marketing expenses	-119,799	-103,496	-115,141	-144,021	-245,023	-147,095	-149,242	-160,302
General and administrative expenses	-31,922	-42,183	-41,985	-44,239	-33,082	-42,189	-47,687	-53,348
Other income/expenses, net	-36,788	-16,218	-32,113	-11,746	-12,746	-8,309	-4,598	-4,701
Operating profit	69,638	100,351	113,350	140,905	50,150	98,824	159,019	192,301
Non-GAAP EBITA	130,397	147,400	165,028	173,065	76,416	126,716	180,212	214,484
Adjusted EBITDA	158,205	175,199	191,668	202,325	113,483	180,612	255,180	314,496
Profit before tax	59,550	89,185	101,596	155,455	129,387	101,510	151,698	183,533
Income tax expense	-26,815	-15,549	-22,529	-35,445	-30,045	-27,986	-27,663	-32,915
Share of results of equity investees	14,344	-8,063	-7,735	5,966	2,785	1,855	2,142	2,879
Net income	47,079	65,573	71,332	125,976	102,127	75,379	126,178	153,498
Net profit attributable to SHs	61,959	72,509	79,741	129,470	105,904	75,982	126,858	154,178
Non-GAAP net profit to SHs	143,968	143,991	158,359	157,940	64,359	111,480	162,996	191,115
Diluted EPS (RMB)	22.74	27.46	31.24	53.59	43.02	29.82	50.32	60.78
Non-GAAP diluted EPS (RMB)	52.86	54.56	62.23	65.41	26.82	44.78	64.65	75.34

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 14: Alibaba: Cash Flow Statement

RMB million	FY3/22	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Profit before tax	59,550	89,185	101,596	155,455	129,387	101,510	151,698	183,533
Stock-based compensation	23,971	30,831	18,546	13,970	11,180	15,211	16,595	17,482
Depreciation & amortization	48,065	41,303	48,232	35,596	42,146	58,036	79,566	104,713
Changes in working capital	-31,477	7,065	12,957	-38,361	-14,272	54,645	74,929	94,662
Taxes, other adjustments	42,650	31,368	1,262	-3,151	-92,228	-38,726	-27,663	-32,915
Cash flow from operations	142,759	199,752	182,593	163,509	76,213	190,676	295,126	367,476
Capex	-53,309	-35,352	-24,085	-84,278	-122,021	-232,660	-240,000	-240,000
Additions of intangibles	-15	-22	-842	0	0	-3,179	-4,773	-5,372
Other	-145,268	-100,132	3,103	-101,137	54,685	-19,953	-95,683	-97,243
Cash flow from investments	-198,592	-135,506	-21,824	-185,415	-67,336	-255,792	-340,456	-342,615
Cash flow from financing	-64,449	-65,619	-108,244	-76,215	-20,573	176,566	28,224	10,410
Net effect of exchange rate changes	-8,834	3,530	4,389	965	-4,004	-1,519	0	0
Net change in cash	-129,116	2,157	56,914	-97,156	-15,700	109,932	-17,106	35,271
Beginning cash	356,469	227,353	229,510	286,424	189,268	173,568	283,500	266,394
Ending cash	227,353	229,510	286,424	189,268	173,568	283,500	266,394	301,665

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 15: Alibaba: Balance Sheet

RMB million	FY3/22	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Cash and cash equivalents	189,898	193,086	248,125	145,487	131,530	236,084	214,166	242,585
Short term investments	256,514	326,492	262,955	228,826	155,310	154,653	154,653	154,653
Prepayments, receivables and other assets	192,123	178,388	241,784	299,736	323,929	453,604	497,377	547,066
Total current assets	638,535	697,966	752,864	674,049	610,769	844,341	866,196	944,303
Prepayments, receivables and other assets	113,147	110,926	116,102	83,431	94,996	128,026	143,708	160,951
Property and equipment, net	171,806	176,031	185,161	203,348	282,699	435,415	600,447	740,435
Intangible assets, net	59,231	46,913	26,950	20,911	16,983	16,404	16,579	17,251
Other non-current assets	712,834	721,208	683,752	822,488	904,123	849,602	931,744	1,014,624
Total assets	1,695,553	1,753,044	1,764,829	1,804,227	1,909,570	2,273,787	2,558,674	2,877,562
Short-term debt	8,841	12,266	29,001	22,562	28,224	128,026	143,708	160,951
Accounts payable	293,213	288,493	306,951	344,175	370,523	482,889	587,512	713,820
Merchant deposits	14,747	13,297	12,737	274	236	248	259	271
Other current liabilities	66,983	71,295	72,818	68,335	77,415	85,903	95,159	106,337
Total current liabilities	383,784	385,351	421,507	435,346	476,398	697,066	826,638	981,379
Long-term debt	132,503	149,088	141,775	172,307	164,935	194,573	226,206	251,186
Other long-term liabilities	97,073	95,684	88,948	106,468	141,967	144,819	145,372	146,055
Total liabilities	613,360	630,123	652,230	714,121	783,300	1,036,458	1,198,216	1,378,620
Shareholders' equity	1,082,193	1,122,921	1,112,599	1,090,106	1,126,270	1,237,330	1,360,459	1,498,942
Total liabilities & shareholders' equity	1,695,553	1,753,044	1,764,829	1,804,227	1,909,570	2,273,787	2,558,674	2,877,562

Source: Corporate reports, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	3 Sep 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
BABA (Alibaba)	O	USD	111.81	165.00	(34.7)%	CNY	26.82	44.78	64.65	28.0	16.8	11.6
OLD				180.00				45.51	62.54			
9988.HK (Alibaba)	O	HKD	110.10	161.00	(45.8)%	HKD	8.82	3.69	6.46	10.7	25.5	14.6
OLD				176.00					6.57			
SPX			7,747.71									
ASIA			1,948.83									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

9988.HK base year is 2025;

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY**Alibaba Group Holding Ltd**

We value Alibaba at US\$165/HK\$161 per share, based on our SOTP valuation for FY+1 revenues and profits in its core e-commerce and Cloud businesses.

RISKS**Alibaba Group Holding Ltd**

The main downside risks associated with our price target for Alibaba include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with Taobao, Tmall, and other platforms, competition with rival internet platforms, regulatory risks – for example related to China's anti-monopoly regulations, and losses in the company's innovation initiatives & others segment.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

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- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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Autonomous preferred stock ratings are based on a 6-month time horizon.

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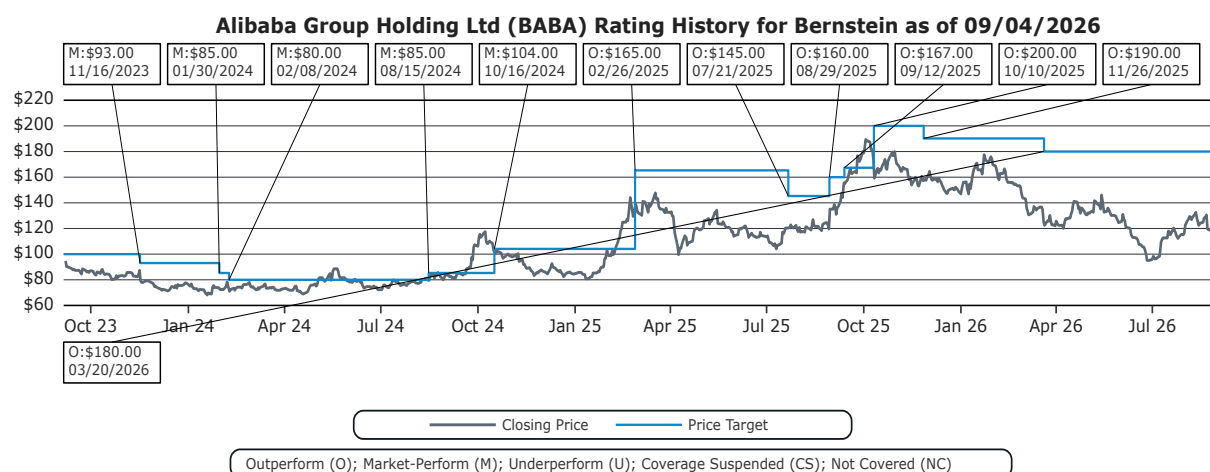
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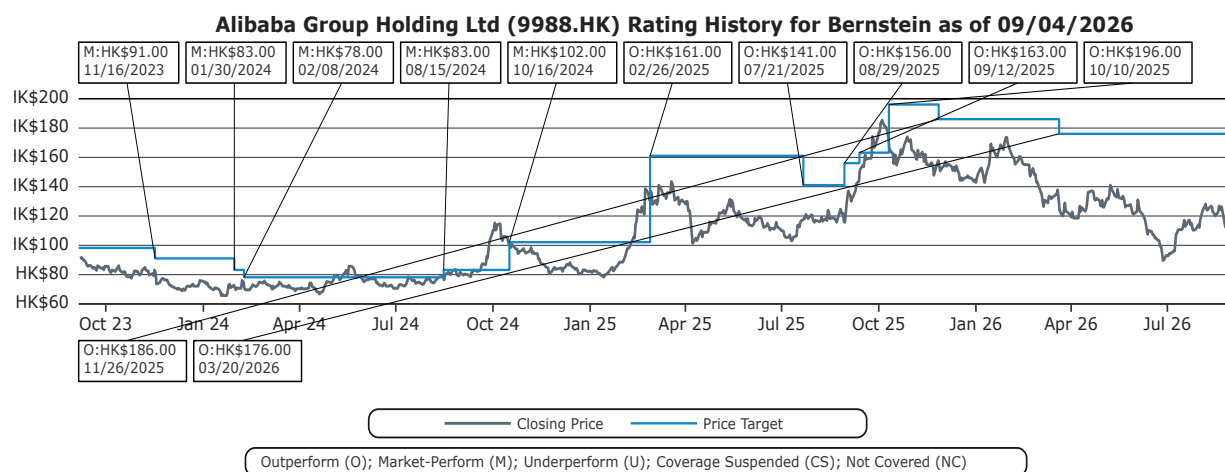
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY





All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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